



Book	Administrative Guideline Manual
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6325 - PROCUREMENT – FEDERAL GRANTS/FUNDS

Contracting with Small Businesses, Minority Businesses, Women's Business Enterprises, Veteran-Owned Businesses, and Labor Surplus Area Firms~~Small and Minority Businesses and Women's Business Enterprises~~

When possible, the District shall consider small businesses, minority businesses, women's business enterprises, veteran-owned businesses, and labor surplus area firms.~~The District shall take affirmative steps to provide that minority businesses and women's business enterprises are used when possible.~~

Such ~~consideration means~~ affirmative steps shall include:

- A. ~~these business types are included on solicitation lists~~ placing qualified small and minority businesses and women's business enterprises on solicitation lists;
- B. ~~these business types are solicited whenever they are deemed eligible as~~ assuring that small and minority businesses, and women's business enterprises are solicited whenever they are potential sources;
- C. dividing ~~procurement transactions into separate procurements~~ total requirements, when economically feasible, into smaller tasks or quantities to permit maximum participation by ~~these business types~~ small and minority businesses, and women's business enterprises;
- D. establishing delivery ~~schedules (for example, the percentage of an order to be delivered by a given date of each month) that encourage participation by these business types~~ schedules, where the requirement permits, which encourage participation by small and minority businesses, and women's business enterprises;
- E. ~~utilizing organizations such~~ using the services and assistance, as appropriate, of such organizations as the Small Business Administration and the Minority Business Development Agency of the Department of Commerce; and
- F. requiring ~~a contractor under a Federal award to apply this guideline to subcontracts~~ the prime contractor, if subcontracts are to be let, to take the affirmative steps listed in this guideline.

Definitions

Small Business - A small business is a privately owned company in the legal form of a corporation, partnership, or sole proprietorship. The SBA defines a small business as one that typically makes a maximum of \$750,000 – \$38.5 million in annual revenue and has less than 100 – 1,500 employees, depending on industry.

Minority and Women's Business Enterprises - A Minority Business Enterprise (MBE) is an American term which is defined as a business which is at least fifty-one percent (51%) owned, operated and controlled on a daily basis by one (1) or more (in combination) American citizens of the following ethnic minority and/or gender (e.g. woman-owned) and/or military veteran classifications:

- A. African American
- B. Asian American or Pacific Islander (includes West Asian Americans (India, etc.) and East Asian Americans (Japan, Korea, etc.))
- C. Hispanic American - Persons with origins from Latin America, South America, Portugal and Spain (SBA.gov)
- D. Native American, including Aleuts
- E. Hasidic Jew
- F. Service – Disabled Veteran Owned a.k.a. SDVBE (Service Disabled Veteran Business Enterprise), a.k.a. DVBE (Disabled Veteran Business Enterprise) which became a Federally certified classification in 1999, subsequent to the passage of legislation by the United States Congress through the enactment of The Veterans Entrepreneurship and Small Business Act of 1999 (The Act); legislation that was further expanded by Congress in 2001.

MBE's can self-identify, but are typically certified by a city, State or Federal agency.

Veteran Owned Business

A veteran owned business (as defined in 38 U.S.C. 101(2)) must meet the following requirements:

- A. the owner served on active duty with the Army, Air Force, Marines, Navy, or Coast Guard;
- B. the owner was honorably discharged or released;
- C. at least fifty-one percent (51%) of the business is veteran-owned; and
- D. the veteran owner is actively involved in managing the company and its daily operations.

Labor Surplus Area Firm

A labor surplus area firm is a business concern that, together with its first-tier subcontractors, will perform substantially in labor surplus areas (as identified by the U.S. Department of Labor in accordance with 20 C.F.R. Part 654). Performance is substantially in labor surplus areas (areas of concentrated unemployment or underemployment) if the costs incurred under the contract on account of manufacturing, production, or performance of appropriate services in labor surplus areas exceed fifty percent (50%) of the contract price.

2 C.F.R. 200.321

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